

Newsroom

SURGE ENERGY ANNOUNCES SIGNIFICANT ACQUISITION OF GRENADIER ENERGY PARTNERS II'S MIDLAND BASIN ASSETS

JANUARY 31, 2021 | Surge Energy

HOUSTON, Jan. 31, 2021 /PRNewswire/ – Surge Energy US Holdings Company ("Surge Energy" or the "Company") announced in the US that it, through its subsidiary, has signed a purchase and sale agreement to acquire leasehold interest and producing wells from Grenadier Energy Partners II LLC ("GEP II") in Howard County, TX (the "Transaction"). The aggregate purchase price of the Transaction is expected to be approximately \$420 million USD.

Highlights of the acquired assets include:

- Average production of approximately 9,000 Boepd (approximately 75% oil)
- Approximately 18,010 net leasehold acres
- Operated inventory of approximately 120 high-quality, economic future drilling locations

The Transaction is expected to close in late first quarter.

"This acquisition is consistent with our strategy of building a long-term, sustainable oil and gas company," stated Chief Executive Officer Linhua Guan. "The combination of both production and high-quality inventory support both near-term cash flow and strong economic returns for years to come."

Citi acted as financial advisors to Surge Energy. Jefferies LLC acted as financial advisor to GEP II. Legal advisors included Thompson & Knight LLP for Surge Energy and Vinson & Elkins LLP for GEP II.

About Surge Energy

Surge Energy US Holdings Company is an independent oil and natural gas company focused on the development, exploitation, production and acquisition of oil and natural gas reserves in the Midland Basin of West Texas, one of three primary sub-basins of the Permian Basin. The Company is headquartered in Houston, Texas, and currently holds approximately 93,000 net acres in the Permian Basin. For more information, visit our website at www.surgeenergy.com.

PRNewsWire.com